Credit Call Spread works in a similar way but on the opposite side. Therefore, it should be deployed when we expect a fall in price.

Strategy #2 Debit Spread

Debit Spreads are also similar to credit spreads but work in a different way. In credit spreads, we receive premium money, but in debit spreads, we pay some premium. In simple words, debit spread is the extended version of 'option buying', and the credit spread is the extended version of 'option selling.'

In a debit spread, we buy a high-premium option and sell the low-premium option in the same stock/index. Here the premium paid for the long option is always higher than the received premium from the short option.

Credit spreads are better when we expect a sideways move, or smaller to medium range move. Whereas debit spreads are the better choice when we expect a big move.

There are two types of debit spreads – 1) Put Debit Spread and 2) Call Debit Spread.

Traders deploy put debit spread when they are bearish and call debit spread when they are bullish on a stock/index.

Example 1 – Nifty on 27-July-2021 (weekly expiry)